

CHAPTER 62.

An Act to amend the Acts relating to National Health Insurance.
[6th February 1918.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :

PART I.**FINANCIAL PROVISIONS.**

1.—(1) The sum to be retained by the Insurance Commissioners under subsection (3) of section fifty-five of the National Insurance Act, 1911 (in this Act referred to as "the principal Act"), out of each weekly contribution shall, in the case of an insured person being a woman, be one penny and one-sixth instead of one penny halfpenny.

Amendment of s. 55 (3) of principal Act. 1 & 2 Geo. 5. c. 55.

(2) The sums retained by the Insurance Commissioners under the said subsection shall, instead of being wholly applied towards discharging the liabilities of the Insurance Commissioners to approved societies in respect of reserve values, be applied in carrying to the Contingencies Fund and the Central Fund hereinafter constituted, amounts calculated in accordance with the provisions of the First Schedule to this Act, and the balance only shall be applied in discharging such liabilities as aforesaid and apportioned amongst societies in manner provided by subsection (4) of the said section :

Provided that if at any time it appears to the National Health Insurance Joint Committee that, after taking into account the necessity of creating a proper reserve, the sums standing to the credit of the Central Fund are more than sufficient for the purposes for which that fund is established, the Committee may by regulations provide for decreasing the amounts to be carried to that fund and making a corresponding increase in the amounts to be carried to the Contingencies Fund.

2.—(1) There shall be established under the control of the National Health Insurance Joint Committee a fund to be called the Women's Equalisation Fund and to be applied in assisting approved societies in meeting their liabilities in respect of the sickness claims of women.

Women's Equalisation Fund.

(2) There shall in each year be charged on the Women's Equalisation Fund and distributed among approved societies in manner provided by a scheme to be made by the National Health Insurance Joint Committee, with the approval of the Treasury, such sum, not exceeding eight shillings in respect of each of the total number (calculated in the prescribed manner) of

married women who are members of approved societies and who are employed contributors, as may be ascertained in accordance with the said scheme.

(3) Subject as hereinafter provided, there shall in respect of each year be carried to the Women's Equalisation Fund out of moneys provided by Parliament such sum as will suffice to meet the charges thereon :

Provided that the sum to be carried to the Fund in respect of each of the years nineteen hundred and thirteen, nineteen hundred and fourteen, nineteen hundred and fifteen, and nineteen hundred and sixteen, shall, instead of being provided as aforesaid, be provided out of the moneys voted by Parliament before the commencement of this Act in aid of the provision of sickness benefit for women, and in so far as the moneys so voted are insufficient to meet the aggregate charges on the fund in respect of those four years shall be provided out of the moneys applicable towards discharging the liabilities of the Insurance Commissioners to approved societies in respect of reserve values.

(4) All sums distributed among societies under this section shall be available for the payment of benefits, and shall, for the purposes of section three of the principal Act, be deemed to have been derived from contributions made in respect of contributors notwithstanding that they are derived in whole or in part from moneys provided by Parliament.

Contingencies
Funds and
valuation.

3.—(1) The Insurance Commissioners shall periodically apportion amongst the several societies the sums by this Act directed to be carried to the Contingencies Fund in the case of men in proportion to the number of contributions credited in respect of the members of those societies respectively who are men, and the sums by this Act directed to be carried to the Contingencies Fund in the case of women in proportion to the number of contributions credited in respect of the members of those societies respectively who are women, and the sums so apportioned to any society shall, with the proper proportion of the accumulations of interest on the amount from time to time standing to the credit of the fund, form the contingencies fund of the society, and be available for making good any deficiency of the society or of the branches thereof in manner hereinafter appearing, and no part of any surplus of any society or branch disclosed on a valuation shall be applied towards making good any deficiency in any other society or branch.

(2) If on the valuation of a society without branches a deficiency is disclosed, the sums standing to the credit of the contingencies fund of the society shall be applied towards making good the deficiency ; and if no deficiency is so disclosed, or if the sums standing to the credit of the contingencies fund are more than sufficient to make good that deficiency, the sums standing to the credit of that fund or the balance thereof shall, subject to the provisions of this section with respect to small societies, be carried to the benefit fund of the society, but

any amount so carried shall not be treated for the purposes of section thirty-seven of the principal Act as forming part of any surplus found at that valuation.

In this section the expression "benefit fund" means the fund out of which benefits payable by the society or branch are provided.

(3) If on the valuation of any society with branches a deficiency is disclosed in the case of any one or more branches of the society, the central authority of the society shall apply the sums standing to the credit of the contingencies fund of the society towards making good those deficiencies, except that, if satisfied that any part of a deficiency is due to any maladministration by the branch in question, the central authority may, with the consent of the Insurance Commissioners, refuse so to make good at all or in part that part of the deficiency.

If there are no deficiencies, or if the sums standing to the credit of the contingencies fund are more than sufficient to provide for the total amount of the deficiencies made good under the foregoing provision, the fund or the balance of the fund shall, subject to the provisions of this section relating to small societies, be apportioned amongst the several branches in proportion to the amounts paid into the fund in respect of contributions of members of those branches respectively since the commencement of the principal Act, or since the last valuation, as the case may be, but where there was a deficiency in the case of any branch the amount so paid into the fund in respect of contributions of members of that branch shall for the purpose of this provision be deemed to be reduced by the amount (if any) applied towards making good the deficiency.

The amount so apportioned to any branch shall be applied and dealt with as follows:—

- (a) If there was a deficiency in the case of the branch and any part thereof was not discharged out of the contingencies fund of the society as being due to maladministration, the amount shall be applied towards making good that deficiency;
- (b) Subject as aforesaid the amount shall be carried to the benefit fund of the branch, but any amount so carried shall not be treated for the purposes of section thirty-seven of the principal Act as forming part of any surplus found at that valuation.

(4) Regulations of the National Health Insurance Joint Committee shall provide, in the case of societies which at the date as at which a valuation is made have not joined an association formed or recognised under this section and have less than one thousand members, for applying pro rata to such extent, not exceeding one half, as may be necessary, any balances of the contingencies funds of those societies not required for making good deficiencies in those societies under the foregoing provisions of this section towards making good pro rata the balances of the deficiencies remaining in the case of other such societies after the application of the contingencies

funds of those societies in accordance with the foregoing provisions of this section, subject, nevertheless, to the power of the Insurance Commissioners to refuse to allow to be made good either at all or in part any part of any deficiency which in their opinion is due to maladministration :

Provided that the Insurance Commissioners shall exempt from this subsection any society consisting of persons entitled to rights in a superannuation or other provident fund established for the benefit of persons employed by one or more employers, if the employer in addition to the contributions payable by him under Part I. of the principal Act is responsible for the solvency of the fund or for the benefits payable thereout, or is liable to pay a substantial part of, or to make substantial contributions to, or substantially to supplement the benefits payable out of the fund, and this subsection shall not apply to any society so exempted.

(5) The Insurance Commissioners may make regulations providing for the formation within the prescribed time for the purposes of this section of associations with central financial committees, and prescribing the conditions on which, and the time within which, a society shall be entitled or allowed to join, or having joined to secede from, an association, and the manner in which, and the conditions on which, such an association may be dissolved ; and those regulations shall provide for recognising as an association formed for the purposes of this section any association which was formed for the purposes for which provision was made by section thirty-nine of the principal Act and was in existence on the first day of January nineteen hundred and eighteen, or which was on that date in the course of being so formed, if in the opinion of the Insurance Commissioners the association is such that they could properly have consented to its formation under the said section.

Where such an association has been formed this section shall, subject to such adaptations as may be prescribed, apply as though the association were a society with branches and the associated societies were the branches of the society and the contingencies funds of the associated societies formed the contingencies fund of the society.

Except so far as relates to the power of refusing to allow any part of a deficiency due to maladministration to be made good out of any contingencies fund, nothing in this subsection shall be construed as conferring on any central financial committee any powers of control over the administration of any society.

If at the date as at which any valuation is made the aggregate number of the members of the societies in any association is less than five thousand, those societies shall, for the purposes of this section, be treated in relation to that valuation as if they had not been associated.

(6) If in the case of a society consisting of persons entitled to rights in a superannuation or other provident fund established for the benefit of persons employed by one or more persons the

employer is responsible for the solvency of the fund, or for the benefits payable thereout, he shall not, in the event of a deficiency being disclosed on a valuation of the society, be required to make good the deficiency or to make up to their full amount the benefits payable out of the fund except in so far as the contingencies fund of the society is insufficient for the purpose, but save as aforesaid nothing in the provisions of this section shall affect any obligation in relation to such a society undertaken by the employer whereby he becomes responsible for the solvency of the fund or for the benefits payable thereout, or liable to pay a substantial part of or to make substantial contributions to or substantially to supplement the benefits payable out of the fund.

(7) The powers conferred by the proviso to subsection (1) of section sixteen of the National Insurance Act, 1913, may, subject ^{3 & 4 Geo. 5.} to the consideration by the National Health Insurance Joint ^{c. 37.} Committee of any submission made by the governing body of the society, be exercised on representations made within six months after the passing of this Act in like manner as they were authorised to be exercised on representations made within six months after the passing of that Act, so, however, that any separation of funds required to be made in consequence of the exercise of the said powers under this section shall not take effect until after the first valuation, and shall be carried out in such manner as the Committee may direct; and where, on a representation made within six months after the passing of the first-mentioned Act, the National Health Insurance Joint Committee have exercised in respect of a society the powers conferred on them by that proviso, they may, on a representation being made within six months after the passing of this Act, reverse their decision, if they are satisfied in manner provided by that proviso that the members of the society resident in the part of the United Kingdom affected desire the decision to be reversed, and that the governing body of the society assent thereto.

(8) The normal intervals between valuations of societies shall be five instead of three years.

4.—(1) There shall be established under the control of the ^{Central Fund.} National Health Insurance Joint Committee a fund to be called the Central Fund, to which shall be carried in respect of each year, beginning with the year nineteen hundred and seventeen, out of moneys provided by Parliament, the sum of one hundred and fifty thousand pounds, together with the sums which under this Act are directed to be carried to that fund, and all accumulations of interest on the money for the time being standing to the credit of that fund.

(2) If on the valuation of any society or any branch of a society, the society or branch is found in deficiency, and the sums in any contingencies funds available to make good that deficiency are not sufficient, the Committee, if satisfied that the deficiency is due in whole or in part to an abnormal rate of

sickness amongst the members of the society or branch attributable to the nature of their employment or environment or their physical condition or any epidemic disease, or is due to the rate of sickness being abnormal by reason of the small membership of the society or branch or is due to any other special cause beyond the control of the society or branch may, out of the Central Fund, make good the whole or any part of the deficiency not so made good as aforesaid.

(3) For the purpose of determining whether the claim of any society or branch for relief out of the fund should be granted, the Committee shall, if so requested by the society or in the case of a branch by the central authority of the society, appoint an independent body, constituted in accordance with regulations made by the Committee, to investigate the circumstances to which the deficiency was attributable, and in determining whether and to what extent relief should be granted out of the fund to the society or branch shall have regard to the report of such investigating body.

Minor amendments.

5. The amendments specified in the second column of the Second Schedule to this Act, which relate to minor details, shall be made in the provisions of the principal Act specified in the first column of that Schedule.

Operation of Part I.

6. Save as otherwise expressly provided this Part of this Act shall be deemed to have had effect as from the commencement of the principal Act, and accordingly the principal Act shall be deemed always to have had effect subject to the provisions of this Part of this Act.

PART II.

GENERAL AMENDMENT.

Qualifications for becoming, and rate of contribution payable by, voluntary contributors.

7.—(1) The persons not employed within the meaning of Part I. of the principal Act, who are entitled to be or become voluntary contributors under Part I. of the principal Act shall instead of being the persons specified in subsection (3) of section one of that Act be the following persons, that is to say :—

(a) All persons who, having been employed within the meaning of Part I. of the principal Act and insured as employed contributors for a period, whether continuous or not, of one hundred and four weeks or upwards, have ceased, whether before or after the commencement of this Act, to be employed contributors, and who give notice within the prescribed time and in the prescribed manner that they desire to become voluntary contributors ; and

(b) All persons engaged in any excepted employment as respects whom the Insurance Commissioners are satisfied that in the special circumstances they should be allowed to be voluntary contributors ; and

- (c) All persons who were insured as voluntary contributors on the first day of January nineteen hundred and eighteen, or who having at any previous time been insured as voluntary contributors ceased to be so insured by reason of becoming employed contributors and were insured persons at that date, and have in either case since that date continued to be insured persons.

(2) The contributions payable by voluntary contributors shall be payable at the employed rate and shall be paid at weekly or other prescribed intervals :

Provided that in the case of a voluntary contributor resident in Great Britain who is not entitled to receive medical benefit, the weekly contribution which would otherwise have been payable shall be reduced by one penny halfpenny, and there shall be credited to the society of which such a voluntary contributor is a member, or if he is a deposit contributor to the Deposit Contributors Fund, the difference between the amount of the contributions actually paid by him at the reduced rate and the amount which would have been paid if those contributions had been at the full rate, and the amount of that difference shall be treated as having been expended on benefits and the proper proportion thereof shall accordingly be paid out of moneys provided by Parliament.

(3) For the purposes of the provisions of Part I. of the principal Act relating to reserve values, all persons who being members of an approved society were insured as voluntary contributors on the date aforesaid, and who continue to be so insured and to be members of an approved society after the passing of this Act, shall be deemed to have joined that society at the commencement of this Act, and subject to the existing transfer values of those persons reserve values shall be credited to societies accordingly, and the words "other than a voluntary contributor who entered into insurance within sixty-five weeks after the commencement of this Act and at the date of that entry was of the age of forty-five years or upwards" in subsection (3) of section fifty-five of the principal Act, as amended by section two of the National Insurance Act, 1913, are hereby repealed, and that section shall as from the commencement of this Act be construed and have effect accordingly.

8. Where any person who is or may thereafter be employed within the meaning of Part I. of the principal Act proves that he has not been so employed for the prescribed number of weeks during any prescribed period, he shall be entitled to an exemption certificate under section two of that Act.

Exemption for persons intermittently employed.

9. Where under the provisions of the principal Act any part of the contribution payable in respect of an employed contributor is payable out of moneys provided by Parliament, the

Payment of contributions payable in respect of low-wage earners.

amount so payable shall be paid in the first instance by the employer, and every employer who proves to the satisfaction of the Insurance Commissioners within the prescribed time that he has paid any sums in pursuance of the foregoing provision shall on making application in the prescribed manner be entitled to be repaid those amounts by the Commissioners:

Provided that if and so long as any special arrangements made by the Irish Insurance Commissioners are in force in Ireland with respect to the collection of contributions payable in respect of out-workers, the provisions of this section shall apply as regards the employers of out-workers in Ireland with such modifications as may be prescribed.

Rate of employer's contribution in case of employee holding certificate of exemption.

10.—(1) Contributions payable by an employer under subsection (4) of section four of the principal Act shall in every case except where the person employed is a master, seaman, or apprentice to the sea service or the sea fishing service, serving on a foreign-going ship or a ship engaged in regular trade on foreign stations, be at the rate of three pence per week instead of at the rate payable under the provisions of that subsection.

(2) In the application of this section to Ireland two pence halfpenny shall be substituted for three pence.

Conditions for receipt of maternity benefit.

11. Paragraph (d) of subsection (8) of section eight of the principal Act (which relates to the conditions for receipt of maternity benefit), shall, as respects persons entering into insurance after the passing of this Act, have effect as if for the words "twenty-six or in the case of a voluntary contributor fifty-two weeks" there were substituted the words "forty-two weeks," and as if for the words "twenty-six or in the case of a voluntary contributor fifty-two weekly contributions" there were substituted the words "forty-two weekly contributions."

Amendments with respect to sickness benefit.

12.—(1) Unless and until one hundred and four weeks have elapsed since the entry of an insured person into insurance and at least one hundred and four weekly contributions have been paid by or in respect of that person, the rate of sickness benefit to which that person shall be entitled shall, subject to the provisions of any regulations made by the Insurance Commissioners for allowing a higher rate to such classes of persons, being persons who entered into insurance before the commencement of this Act, as may be prescribed, be in the case of a man six shillings a week, and in the case of a woman five shillings a week, instead of the rates specified in Table A. of Part I. of the Fourth Schedule to the principal Act.

(2) Where an insured person who claims to be entitled to sickness or disablement benefit fails to give notice of the disease or disablement within three days from the commencement thereof, benefit shall in his case, subject as hereinafter provided, commence only on the day following the date on which the notice is given, or, if the disease or disablement is under the

provisions of subsection (5) of section eight of the principal Act deemed to be a continuation of a previous disease or disablement, on the day next but one before that date :

Provided that if in the case of any insured person the society or committee administering the benefit are satisfied, or if in the case of a dispute it is decided in manner provided by the principal Act, that in the circumstances of the case he was not reasonably able to give notice either before the date on which it was in fact given, or before some earlier date being a date more than three days after the commencement of the incapacity, he shall be entitled to benefit commencing on the fourth day of the incapacity or, in the case of a disease or disablement which is deemed as aforesaid to be a continuation of a previous disease or disablement, commencing on the first day of the incapacity, so, however, that where the insured person only proves inability to give notice before some date earlier than the date on which notice was in fact given he shall not be entitled to benefit for the period commencing on the day next after that earlier date and ending on the date of the notice.

For the purposes of this subsection notice sent by post shall be deemed to have been given on the day on which the letter containing the notice was posted.

(3) Notwithstanding any provision to the contrary in any rule of an approved society or branch of such society, an insured unmarried woman who is pregnant shall not on the ground that her pregnancy was due to misconduct be deprived of any sickness or disablement benefit to which she would but for that provision have been entitled.

(4) Subsection (2) of section nine of the principal Act is hereby repealed.

13.—(1) Where an insured person, being a member of an approved society, ceases to be employed within the meaning of Part I. of the principal Act, he shall, for a period of twelve months commencing next after the end of the week in which he ceased to be so employed, for all purposes remain an insured person, and shall, until the termination of the year in which he ceases to be an insured person be entitled to receive medical benefit and sanatorium benefit as if he had continued to be an insured person and a member of an approved society :

Position of insured persons ceasing to be employed or to pay contributions as voluntary contributors.

Provided that where any such person ceases to be employed as aforesaid by reason of entering on some prescribed class of occupation in connection with the war, not being employment within the meaning of Part I. of the principal Act (in this section referred to as "war occupation") or by reason of being interned in an enemy country as a prisoner of war or otherwise, he shall, subject to such conditions with respect to payment of contributions and otherwise as may be prescribed, remain an insured person until two months after the termination of the war occupation or internment, as the case may be, or until the

expiration of twelve months from the date on which he ceased to be employed as aforesaid, whichever date is the later.

(2) Where an employed contributor in respect of whom less than one hundred and four weekly contributions have been paid ceases to be employed within the meaning of Part I. of the principal Act, he shall, if he proves to the approved society of which he is a member, or if in the case of a dispute it is decided in manner provided by the principal Act, that he is or was unemployed owing either to incapacity for work due to some specific disease or bodily or mental disablement or inability to obtain employment, be entitled, within and in respect of the prescribed time, to pay contributions in respect of the period of unemployment.

(3) A voluntary contributor being a member of an approved society shall remain for all purposes an insured person for a period of twelve months commencing next after the end of the week in respect of which the last contribution paid by him as a voluntary contributor was paid, and shall, until the termination of the year in which he ceases to be an insured person, be entitled to receive medical benefit and sanatorium benefit as if he had continued to be an insured person and a member of an approved society.

(4) In calculating for the purposes of this section the said period of twelve months no account shall be taken of any period during which the person who has so ceased to be employed or to pay contributions is rendered incapable of work by reason of some specific disease or by bodily or mental disablement of which notice has been given within the prescribed time.

(5) Where any person has ceased to be an insured person he shall, if he subsequently becomes employed within the meaning of Part I. of the principal Act, be treated as if he had not previously been an insured person.

(6) Where any person having been insured as an employed contributor at any time within twelve months before the date of the commencement of this Act ceased to be employed within the meaning of Part I. of the principal Act before that date, or where any person having been insured as any employed contributor at any time since the thirty-first day of July, nineteen hundred and fourteen, ceased before the commencement of this Act to be employed within the meaning of Part I. of the principal Act by reason of entering on war occupation or by reason of being interned as aforesaid, this Act shall apply to him as though it had been in force on the date when he so ceased to be employed, so, however, that such a person shall not, by virtue of this section, be treated as having been entitled to any benefits during any period before the commencement of this Act.

Membership
of approved
societies.

14.—(1) Subject to the provisions of this Act, every member of an approved society shall be entitled, on giving the prescribed notice and on complying with the prescribed conditions, to

terminate his membership of the society and become a member of another society or a deposit contributor :

Provided that—

- (a) No person shall be entitled to terminate his membership except as at the prescribed times, and the prescribed times shall be so fixed as to give opportunities for terminating membership at intervals not greater than twenty-seven weeks ;
- (b) If an approved society, within thirty days after receiving notice from any member that he desires to terminate his membership, gives notice to the Insurance Commissioners and to the member that it objects to his so doing, and proves to the satisfaction of the Commissioners that the society would be prejudiced in its administration by the retirement of the member, the Commissioners may if in the circumstances of the case and having regard to the interests of the insured person they think it proper so to do, declare the notice cancelled, and in such case the member shall remain a member of the society as if no notice had been given ;
- (c) Subject to the consent of the Insurance Commissioners any approved society may, during any period not exceeding one year from the date on which the result of a valuation is declared, suspend except in any specified circumstances the right of insured persons who are members of the society to terminate their membership ;
- (d) If it appears to the Insurance Commissioners at any time as regards any society that, having regard to the interests of the society as a whole, it is not desirable that individual members of the society should be allowed to terminate their membership thereof and that the circumstances are such that the engagements of the society ought to be transferred to another society, they may declare the right of termination of membership to be suspended, and while any such declaration is in force no person shall, except with the consent of the Commissioners, terminate his membership of that society ;
- (e) A member of an approved society on terminating his membership shall, unless he is a person who entered into insurance within the two years immediately preceding the date on which he gave notice of desire to terminate membership, and has not previously been transferred from some other approved society, pay to the society the prescribed fee.

(2) Where an insured person duly ceases to be a member of one approved society and becomes a member of another approved society, there shall, subject to the provisions of this Act, be

transferred to that other society in respect of that person a sum (in this Act called "transfer value") representing the liability under Part I. of the principal Act of the first-mentioned society in respect of that person (exclusive of any liability to provide additional benefits), and calculated in accordance with tables to be prepared by the Insurance Commissioners.

(3) The foregoing provisions of this section shall apply to the termination of membership of a branch of an approved society in like manner as they apply to the termination of membership of an approved society, subject to the following modifications:—

- (i) In the case of a person desiring to terminate his membership of a branch for the purpose of transferring to another branch of the same society, proviso (b) to subsection (1) of this section shall have effect with the substitution of the central authority of the society for the Insurance Commissioners and proviso (e) to the said subsection shall not apply unless the rules of the society so provide; and
- (ii) The power under proviso (c) to the said subsection shall be exercised by the central authority of the society subject to the consent of the Insurance Commissioners.

(4) If any officer, servant, or agent of an approved society directly or indirectly pays or provides, or offers to pay or provide, any fee or part of any fee payable under this section, he shall be liable on summary conviction to a fine not exceeding five pounds.

(5) Any person being a member of an approved society to whom a certificate of exemption is granted under section two of the principal Act, or who ceases to be an insured person, shall upon the grant of the certificate or on so ceasing, as the case may be, cease to be a member of the society:

Provided that if any person within one year after so ceasing to be a member of a society becomes an employed contributor, he shall on making an application for the purpose within the prescribed time be entitled to be re-admitted as a member of the society, and the society shall re-admit him accordingly.

This subsection shall apply to any person to whom such a certificate has been granted before, or who having previously been insured is not an insured person at the date of, the commencement of this Act as if the certificate had been granted or he had ceased to be an insured person on the date of the commencement of this Act.

(6) If any approved society, to whom or to whose duly appointed agent being a person receiving applications for admission to the society any person not being a member of any approved society delivers an application in proper form for admission to the society, does not within a period of three months after the date on which the application is so delivered

deliver or send by post to that person a notification that his application has been rejected, that person shall be deemed as on the date of delivery of the application to have been admitted a member of the society.

15.—(1) If an insured person, being a member of an approved society, ceases to be an insured person, his transfer value shall be carried to a special fund to be called, and in this Act referred to as, the Reserve Suspense Fund. Transfer values of persons lapsing from insurance.

(2) The Insurance Commissioners may make regulations generally with respect to the administration of the Reserve Suspense Fund, and shall by those regulations provide that the fund shall be kept in two parts, the one relating to the transfer values of insured persons being men, and the other relating to the transfer values of insured persons being women, and that the reserve values to be credited in any year to approved societies in respect of persons joining such societies for the purposes of Part I. of the principal Act, or such portion of those reserve values as may be prescribed, shall be provided out of the sums standing in that year to the credit of the Reserve Suspense Fund instead of in manner provided by section fifty-five of the principal Act, and the balance of those sums remaining after providing for reserve values shall be dealt with and applied in such manner as may be prescribed.

The provisions of subsections (3) and (4) of section fifty-four of the principal Act which require the Insurance Commissioners to ascertain what sums standing in the National Health Insurance Fund are available for investment and which regulate the investment of the amount so ascertained and the crediting of interest on investments shall apply to sums standing in the Reserve Suspense Fund as they apply to sums standing in the National Health Insurance Fund.

(3) All sums which having been carried to the credit of the Lapsed Transfer Values Account in pursuance of the regulations made under paragraph (b) of subsection (1) of section forty-three of the principal Act are standing to the credit of that account at the commencement of this Act, together with any accumulations of interest, shall be transferred to and form part of the Reserve Suspense Fund and that account shall be closed.

(4) Subject to such modifications and exceptions as may be prescribed the principal Act shall be deemed always to have had effect subject to the provisions of this section.

16.—(1) If an insured person, being a member of an approved society, ceases to be a member of that society and becomes a deposit contributor, there shall be carried to his credit in the Deposit Contributors Fund such sum as represents, in the opinion of the Insurance Commissioners, the value of the contributions paid by or in respect of him, regard being had in making the calculation to his age and the period during which he has been insured, and a sum equal to the amount, if any, Transfer from approved society to deposit insurance and vice versa.

by which his transfer value exceeds the sum so carried to the Deposit Contributors Fund shall be carried to the Reserve Suspense Fund, and so far as that sum represents outstanding reserve value it shall be cancelled.

(2) If an insured person, being a deposit contributor, subsequently becomes a member of an approved society, the amount standing to his credit in the Deposit Contributors Fund shall be carried to the Reserve Suspense Fund, and there shall be charged to that fund and credited to the society a sum representing the amount which would have been the amount of his transfer value if he had been a member of an approved society instead of a deposit contributor.

Any person so becoming a member of an approved society shall for the purpose of any regulations made under this Act with respect to the benefits of persons in arrears be treated subject to the prescribed modifications as if he had been a member of an approved society since the date of his entry into insurance.

Administration
accounts and
expenses, and
raising of
levies.
59 & 60 Vict.
c. 25.
34 & 35 Vict.
c. 31.
39 & 40 Vict.
c. 22.
56 & 57 Vict.
c. 39.

17. Notwithstanding anything in Part I. of the principal Act, the Insurance Commissioners may make regulations—

- (a) authorising any approved society, being a society registered under the Friendly Societies Act, 1896, under the Trade Unions Acts, 1871 and 1876, or under the Industrial and Provident Societies Act, 1893, which carries on other business (hereinafter referred to as "private business") as well as business under Part I. of the principal Act (hereinafter referred to as "state business"), with the consent of the Insurance Commissioners and subject to any prescribed conditions as to audit or otherwise, either to keep a joint account for the purpose of the administration expenses of both the private business and the state business, or for the purpose of some part of those expenses or to pay out of the funds standing to the credit of the administration account kept by the society in respect of the state business to the account kept by the society in respect of its private business any sum not exceeding the prescribed amount, upon the terms that all or some part of the administration expenses in connection with the state business shall be defrayed out of the funds standing to the credit of the account kept in respect of the private business, and providing that the provisions of section thirty-five of the principal Act with respect to audit shall not apply in any such case; and
- (b) imposing on members of any society who fail to pay within the prescribed time any levy which they are liable to pay such penalty by way of reduction, postponement, or suspension of benefits as may be prescribed by the regulations, and providing for the

necessary adjustments in the accounts of the society ;
and

- (c) authorising, subject to compliance with the prescribed conditions, the carrying forward to the administration account of a subsequent year any deficiency on an administration account which is shown to the satisfaction of the Insurance Commissioners to have arisen out of conditions connected with the present war and to be such as could not reasonably have been prevented without prejudicing the efficiency or welfare of the society ; and
- (d) authorising any sums paid by an approved society as on account of benefits to or on behalf of persons not lawfully entitled thereto so far as not recovered to be treated, to such extent and subject to such conditions as may be prescribed, as expenditure on benefits, and providing for charging to the administration account of societies any sums so improperly paid as aforesaid, and neither authorised to be treated as benefits as aforesaid nor recovered ; and
- (e) extending to the branches of approved societies with or without modification the provisions of any regulations made under this section with respect to approved societies :

Provided that as regards the matters specified in paragraphs (a) and (d) of this section, the power of the Insurance Commissioners to make regulations shall be subject to the consent of the Treasury.

18.—(1) The Insurance Commissioners may make regulations— Arrears of contributions.

- (a) providing, subject to the provisions of this section, for the reduction, postponement, or suspension of benefits (other than medical or sanatorium benefit) in the case of insured persons who are in arrears, and with respect to the effect and amount of payments made and to be made by insured persons by way of cancelling arrears, and any regulations with respect to the matters aforesaid may make with respect to voluntary contributors provisions differing from those made with respect to employed contributors ; and
- (b) empowering approved societies to terminate the membership of any person, being a voluntary contributor, whose arrears during the prescribed period exceed the prescribed number, or of any person, being an employed contributor, whose arrears during the prescribed period exceed the prescribed number, and who is entitled to obtain a certificate of exemption under section two of the principal Act as being a person intermittently employed ; and

(c) prescribing the date to which any contribution paid by a voluntary contributor who is in arrears is to be allocated, and providing that for any prescribed purposes any such contribution shall be deemed to have been paid on the date to which it is allocated.

(2) For the purpose of any regulations made under this section, any person who has not been employed within the meaning of Part I. of the principal Act for at least the prescribed period in each of two consecutive years, and who for a substantial part of the period during which he was not so employed in each such year was not so employed for some reason other than incapacity for work due to some specific disease or bodily or mental disablement of which notice has been given within the prescribed time or inability to obtain employment within the meaning of Part I. of the principal Act, shall be deemed to be a voluntary contributor.

(3) In calculating arrears of contributions, no account shall be taken of arrears accruing—

(a) during any period during which the person in question was incapable of work by reason of some specific disease or of bodily or mental disablement of which notice was given within the prescribed time; or

(b) in the case of a woman who is herself an insured person, during two weeks before and four weeks after her confinement, or in the case of maternity benefit payable in respect of the posthumous child of an insured person, during the period subsequent to the father's death.

(4) Where the amount of any arrears which accrued due before the passing of this Act in respect of an employed contributor has been reduced in pursuance of the provisions of subsection (1) of section 7 of the National Insurance Act, 1913, no part of any sum paid on account of those arrears shall be retained by the Insurance Commissioners for the purpose of discharging their liabilities in respect of reserve values or otherwise as in this Act provided.

(5) Section seven of the National Insurance Act, 1913, is hereby repealed, and subsection (2) of that section shall be deemed never to have had effect.

Amendment of
s. 11 of principal
Act.

19.—(1) Any society or committee which in pursuance of subsection (3) of section eleven of the principal Act has made or intends to make advances to an insured person may give notice thereof in the prescribed form to the person liable to pay the compensation or damages, and if such notice is given the person so liable shall, on demand and on being furnished with the prescribed proof of the amount of the advances made, repay to the society or committee, up to the amount which he is liable to pay as compensation or damages, less such part, if any, of that amount as he has already duly paid at the time of receiving the notice aforesaid, the amount advanced, and the receipt of

the society or committee shall, up to the amount of the repayment, be a full and valid discharge to that person in respect of the compensation or damages payable by him to the insured person :

Provided that if the person so liable to pay compensation or damages gives to the society or committee by which such notice as aforesaid is given notice in the prescribed form that he intends to pay or that he has paid compensation or damages, he shall not be under any obligation to make any repayment in respect of any advance made after the date of the payment of the compensation or damages or after the time at which the notice so given by him is received by the society or committee, whichever is the later.

(2) Where an insured person has recovered compensation in respect of any injury or disease and in fixing the amount of the weekly payment regard was had to any such payment, allowance, or benefit as is mentioned in paragraph (3) of the First Schedule to the Workmen's Compensation Act, 1906, or where an insured person who is entitled to receive or recover but has not received or recovered any such compensation is in receipt of any such payment, allowance, or benefit as aforesaid, the weekly value of that payment, allowance, or benefit, as determined by the society or committee, or in the case of a dispute as determined in manner provided by the principal Act, shall in computing under subsection (1) of the said section eleven what part of the benefit is to be paid to the insured person, be added to the weekly sum payable by way of compensation or be treated as being a weekly sum payable by way of compensation, as the case may be, and taken into account accordingly :

6 Edw. 7. c. 58.

Provided that no account shall be taken of any such payment, allowance, or benefit so far as the weekly value thereof, together with the weekly sum (if any) or the weekly value of the lump sum (if any) paid or payable by way of compensation, exceeds the amount of the weekly payment which the insured person would, if there had been no such payment, allowance, or benefit, have been entitled to receive or recover by way of compensation under the said Act.

20.—(1) The following subsection shall be substituted for subsection (2) of section twelve of the principal Act :—

“(2) During such period as aforesaid the sum which would otherwise have been payable on account of any such benefit to or in respect of any such person as aforesaid—

“(a) If that person has any dependants, may at the discretion of the society or committee administering the benefit, but after consultation whenever possible with that person, be applied wholly or in part for the advantage of, or be paid wholly or in part to, those dependants ; and

Amendment of law with respect to contributors who are inmates of hospitals, &c.

“(b) So far as not applied under the preceding provision, or if that person has no dependants, and if in any case he so authorises, may be applied at the discretion of the society or committee administering the benefit towards defraying any expenses for which he may be or become liable otherwise than to the institution while he is such an inmate as aforesaid, and in so far as not so applied may at the discretion of the society or committee be paid in whole or in part to the institution of which he is an inmate, unless that institution is a workhouse, poor law infirmary, asylum, or other similar institution, maintained out of public funds, or, if he is an inmate in receipt of sanatorium benefit, is a sanatorium in which treatment under this Part of this Act is provided :

“Provided that—

“(i) If such an inmate as aforesaid is a married woman or a widow, and the sums so payable or applicable as aforesaid include the sums which would have been payable both on account of maternity benefit payable in lieu of sickness or disablement benefit and on account of maternity benefit not so payable, no part of the sum which would otherwise be payable on account of that last-mentioned maternity benefit shall be paid to or applied for the relief or maintenance of her dependants, but the whole or any part thereof may be paid to the institution of which she is an inmate in the same manner as if she had no dependants ;

“(ii) Where any person who is entitled to any benefit under this Part of this Act applies for admission to any workhouse infirmary, or in Scotland to any poorhouse hospital, or the sick ward of any poorhouse, admission thereto shall not be refused solely on the grounds of the right to that benefit.”

(2) At the end of subsection (2) of the said section twelve the following subsections shall be added :—

“(3) Any sum which but for the provisions of this section would have been payable to any person on account of sickness, disablement, or maternity benefit shall, if and so far as it is not paid or applied during such a period as aforesaid in accordance with the foregoing provisions of this section, be paid in cash to that person after he has left the institution, and either in a lump sum or in instalments at the discretion of the society or committee

administering the benefit, or if that person dies in the institution shall be deemed to form part of his estate.

“(4) Where any sum, which but for the provisions of this section would have been payable on account of sickness or disablement benefit, has been paid or applied in accordance with those provisions, that sum shall be treated as a payment in respect of sickness or disablement benefit as the case may be.”

21.—(1) Where on a valuation made under section thirty-six of the principal Act a deficiency has been found in the case of any approved society or any branch of an approved society, and a scheme for making good the deficiency has been made under section thirty-eight of that Act, no insured person who was a member of the society or branch at the date as at which the valuation was made shall be entitled, till the deficiency has been made good, to be transferred from that society or branch to another society or to any branch of the same society, except on payment to the Insurance Commissioners at the time of his transfer, to be credited to the first-mentioned society or branch, of an amount to be ascertained in the prescribed manner equal to the capitalised value of any levy which would have been payable by him, or of any reduction of benefits to which he would have been liable, if he had not ceased to be a member of that society or branch.

Provisions as to transfer from a society in case of deficiency.

(2) If any insured person ceases to be a member of any approved society or any branch of an approved society at any time between the date as at which a valuation of the society or branch is made (being a valuation on which a deficiency is subsequently found), and the date on which the scheme for making good the deficiency comes into operation, and becomes a member of some other society or branch, he shall on demand pay to the Insurance Commissioners to be credited to the first-mentioned society or branch such an amount as he would have been required to pay if he had remained a member of that society or branch and were about to be transferred to another society or branch, and if he fails to do so, he shall be subject to such reduction, suspension, or postponement of benefits as may be prescribed, and the necessary adjustments shall be made in the accounts of the societies or branches concerned.

22.—(1) Where a woman being an insured person and a member of an approved society marries, she shall, if she had before the date of her marriage ceased, or if at any time within twelve months after the date of her marriage she ceases to be a person whose normal occupation is employment, cease as from that time (hereinafter referred to as “the date of unemployment”) to be entitled to the benefits to which she would otherwise have been entitled under the provisions of the principal Act, and in lieu thereof she shall, subject to the provisions of that Act, be entitled to the following benefits, that is to say, to sickness benefit at the

Special provisions with respect to married women.

rate of five shillings a week for not more than six weeks in the period of twelve months commencing next after the date of unemployment, or if the date of unemployment was anterior to the date of her marriage, within so much of that period as is subsequent to her marriage, to maternity benefit of thirty shillings in respect of her first confinement after the date of unemployment and within two years of the date of her marriage, and to medical and sanatorium benefits until the termination of the year next following the year in which she ceased to be such a person as aforesaid, and she shall until the expiration of two years from the date of her marriage remain an insured person.

(2) For the purposes of this section a woman shall be deemed to have ceased to be a person whose normal occupation is employment as soon as she has been unemployed for eight consecutive weeks commencing next after the week in which she ceased to be employed :

Provided that a woman, who is or was unemployed by reason of incapacity for work in respect of which she has received, or but for any disentitling provisions of the principal Act would have received, sickness or disablement benefit, shall not be deemed to have ceased to be a person whose normal occupation is employment until the expiration of eight weeks commencing next after the end of the last week in which she was, or would have been as aforesaid, in receipt of such benefit.

(3) If a woman, after becoming entitled to benefits by virtue of the preceding provisions of this section, becomes employed before she ceases to be an insured person, she shall be treated as if she had become insured for the first time on the date on which she so becomes employed :

Provided that no woman shall, by reason only of so becoming employed, be deprived of any benefit to which she would, but for the provisions of this subsection, have been entitled unless and until she becomes entitled to corresponding benefit by virtue of her new insurance.

(4) No married woman shall, during her coverture, be entitled to be a voluntary contributor, and any woman who is, at the commencement of this Act, a voluntary contributor under the terms of subsection (2) of section forty-four of the principal Act, shall cease to be such a contributor and an insured person and to be entitled to the benefits mentioned in that subsection, and in lieu thereof shall be entitled to receive by way of benefit payment of a sum of forty shillings :

Provided that—

(a) nothing in this provision shall prevent a married woman who has been employed for at least the prescribed number of weeks in any period being deemed to be a voluntary contributor for the purpose of any regulations made under this Act with respect to the benefits of persons in arrears ; and

(b) where any woman who is a voluntary contributor under the terms of the said subsection (2) is, at the commencement of this Act, in receipt of sickness or disablement benefit, she shall continue to be entitled to sickness or disablement benefit so long as the incapacity continues, and the said sum of forty shillings shall become payable only on the expiration of a period of eight weeks commencing next after the date when the incapacity ceases.

(5) Where any woman being an insured person and a member of an approved society marries, the prescribed sum shall be transferred from the credit of the society to the credit of the Reserve Suspense Fund, and all moneys which are, at the commencement of this Act, standing to the credit of the Married Women's Suspense Account mentioned in section forty-four of the principal Act shall be carried to the credit of the Reserve Suspense Fund, and the said account shall be closed.

(6) Where any woman, being an insured person and a member of an approved society, marries, and after her marriage continues to be or becomes an employed contributor, the appropriate reserve value shall be credited to the society in respect of her as if she were a person joining the society.

(7) The Insurance Commissioners may make regulations providing for such financial adjustments between approved societies and the Reserve Suspense Fund as appear necessary in order to place the societies and the fund respectively in the position in which they would have been if the two last preceding subsections of this section had come into force on the commencement of the principal Act instead of on the commencement of this Act.

(8) Where any married woman is, at the commencement of this Act, entitled to have any sum applied for her benefit under the terms of the proviso to subsection (2) of section forty-four of the principal Act, and that sum or any part thereof remains unexpended on the first day of January nineteen hundred and nineteen, that sum or the unexpended part thereof shall, instead of being applied as aforesaid, be paid to her in cash on that date, and she shall as on that date cease to be an insured person :

Provided that if any cash payment so required to be made is not made before the first day of January nineteen hundred and twenty, an amount equal to the sum to be paid shall be transferred from the credit of the society to the Reserve Suspense Fund.

(9) In the case of any woman being a voluntary contributor who marries, this section shall apply as though the date of her marriage were the date of unemployment.

(10) Subject as aforesaid, the provisions of Part I. of the principal Act shall apply to a woman who has been married, both during and after her coverture, as if she had never been married.

(11) In the application of this section to Ireland for the words "for not more than six weeks in the period of twelve months commencing next after the date of unemployment" there shall be substituted the words "for not more than eight weeks in the period between the date of unemployment and the date of the completion of the second year of marriage."

(12) It shall be the duty of every woman, being an insured person and a member of an approved society, who marries, to give notice of her marriage to her society within eight weeks thereof, and if an approved society pays to any married woman who has failed to give notice in accordance with the foregoing provision any sum by way of sickness benefit in excess of the amount properly payable to that married woman, the society shall, if it was not aware of her marriage, be entitled to deduct the amount so paid in excess from the amount of any benefits subsequently payable to her.

(13) In this section the expression "employment" means employment within the meaning of Part I. of the principal Act, and the expression "employed" and "unemployed" shall be construed accordingly.

Repeal of s. 45
of principal
Act.

23.—(1) Section forty-five of the principal Act (which makes special provisions as to aliens), shall cease to have effect, and as from the commencement of this Act Part I. of the principal Act shall, subject as may be prescribed, apply to all persons who are not British subjects in the same manner as it applies to persons who are British subjects.

(2) For the purpose of the provisions of Part I. of the principal Act relating to reserve values, all persons who were immediately before the commencement of this Act persons to whom the said section forty-five applied and members of an approved society shall be deemed to have joined that society at the commencement of this Act, and, subject to the existing transfer values of those persons, reserve values shall be credited to societies accordingly.

Amendment
of s. 46 of
principal Act.

24.—(1) The following provision shall be substituted for subsection (1) of section forty-six of the principal Act (which makes special provision with respect to persons in the naval and military service of the Crown):—

"For the purpose of providing seamen, marines, and soldiers with such benefits during their term of service and after their return to civil life as are hereinafter in this section mentioned, there shall be paid to the Insurance Commissioners by the Admiralty and Army Council respectively, out of the moneys provided by Parliament for navy and army services, in respect of every seaman and marine within the meaning of the Naval and Marine Pay and Pensions Act, 1865, and of every soldier of the regular forces (not being a soldier of His Majesty's Indian Forces, of the Royal Malta Artillery or a native soldier of any regiment raised outside the United Kingdom),

28 & 29 Vict.
c. 73.

if such seaman, marine, or soldier is a member of an approved society, a sum of threepence in respect of each week or part of a week for which he receives pay, and, if such seaman, marine, or soldier is not a member of an approved society, such sum per week as may be prescribed :

Provided that—

(a) the number of the persons in respect of whom payments are to be made under the foregoing provision shall be ascertained in such manner, and the sums to be paid thereunder shall be paid to the Insurance Commissioners in such manner and at such dates in each year as shall be agreed between the Insurance Commissioners and the Admiralty and the Army Council respectively ; and

(b) no payment shall be made in respect of any seaman, marine, or soldier who has completed the period of his first engagement and has re-engaged for pension and who gives notice within the prescribed time that he does not desire that the provisions of this section should apply to him ; and

(c) the Admiralty and the Army Council respectively shall recover by deduction from the pay of seamen, marines, and soldiers in respect of sums paid under this section such amount not exceeding one penny halfpenny in respect of each weekly contribution as they may think fit.

(2) The Insurance Commissioners shall, out of the sums paid to them by the Admiralty and Army Council under this section, retain towards discharging their liabilities in respect of reserve values under Part I. of the principal Act or for the purpose of being applied otherwise as in this Act provided, the like amount as if each seaman, marine, and soldier in respect of whom a payment is made, were an employed contributor and a member of an approved society, and subsection (3) of section fifty-five of the principal Act shall have effect as if references therein to approved societies included a reference to the Navy and Army Insurance Fund.

Subject as aforesaid, the Insurance Commissioners shall credit periodically to the approved societies of which the seamen, marines, and soldiers are members the proper proportion of the balance of those sums, and shall credit the residue of those sums to the Navy and Army Insurance Fund.

(3) For the purposes of subsection (2) of section sixteen and of subsection (1) of section seventeen of the principal Act a person to whom section forty-six of the principal Act applies shall be deemed to be an insured person and to be resident in such county or county borough as may be prescribed :

Provided that such sum as may be prescribed shall for the purposes of the said subsection (2) of section sixteen be substituted as respects any person to whom the said section forty-six applies for the sum of one shilling and threepence.

(4) The following provision shall be substituted for the words in subsection (2) of section forty-six of the principal Act from the commencement of that subsection to the end of paragraph (i):—

“A seaman, marine, or soldier, who is a member of an approved society shall for the purposes of this Part of this Act be treated as if he had been employed within the meaning of this Part of this Act, and a contribution had been paid in respect of him for each week from the date of his entry or enlistment to the date of his discharge, subject, until his discharge, to the following modifications:—”

(5) The following provision shall be substituted for the words in subsection (3) of section forty-six of the principal Act from the commencement of the subsection to the end of paragraph (a):—

“The provisions of the last preceding subsection shall apply to seamen, marines, and soldiers who are not members of approved societies, subject to the following modifications:—”

(6) Paragraph (g) and proviso (ii) to paragraph (h) of subsection (3) of section forty-six of the principal Act and paragraph (ii) of subsection (4) of the same section shall cease to have effect.

(7) For the purpose of subsection (5) of section forty-six of the principal Act a seaman, marine, or soldier, who absents himself on desertion shall be deemed to have been discharged on the date on which he so absents himself, and to re-enter or re-enlist on the date on which the absence terminates.

Application of
National
Health Insur-
ance Acts to
men of the Air
Force.

25. The provisions of section forty-six of the principal Act (which relates to persons in the naval and military service of the Crown) and of any subsequent enactment amending that section shall, subject to such modifications and adaptations as may be prescribed (including any modifications and adaptations necessary to meet the case of persons who are transferred from the Navy or Army to the Air Force, or from the Air Force to the Navy or Army), extend and be deemed always to have extended to officers and men of the Regular Air Force, the Air Force Reserve, and the Auxiliary Air Force, as if the references in those provisions to soldiers, the Regular Forces, the Army Reserve, and the Territorial Force included references to airmen of the Regular Air Force, the Regular Air Force, the Air Force Reserve, and the Auxiliary Air Force, respectively.

In this section the expression “prescribed” means prescribed by regulations made by the Insurance Commissioners in conjunction with the Air Council.

Repeal of s. 47
of principal
Act.

26.—(1) Section forty-seven of the principal Act (which makes special provision for cases where an employer is liable to pay wages during sickness) shall cease to have effect.

(2) If upon the first making after the commencement of this Act of a valuation under section thirty-six of the principal Act

it appears to the National Health Insurance Joint Committee that any approved society or branch has incurred a substantial loss by reason of any members of the society or branch having been persons in respect of whom section forty-seven of the principal Act applied, there shall be credited to that society or branch such amount as is, in the opinion of the Committee, sufficient to make good the loss, and the amount so credited shall be charged to the Reserve Suspense Fund.

27.—(1) The following amendments shall be made in section forty-eight of the principal Act, and that section shall have effect accordingly :—

Provisions as to the Mercantile Marine.

(a) The following portions of the section shall be repealed, that is to say :—

In subsection (1) the words from “but for the purpose” to “as aforesaid” ;

Proviso (a) to subsection (2) ;

In subsection (8) the words from “and the rules” to the end of the subsection ;

Subsection (9).

(b) The following shall be substituted for the words from “and every four” to “five such contributions” in subsection (2)—

“and every four weekly contributions paid in any prescribed period by or in respect of any master, seaman, or apprentice while serving in such a ship shall, for the purposes of calculating arrears, be treated as five such contributions.”

(c) The following subsection shall be substituted for subsections (6) and (7) :—

“(6) All contributions paid by employers in respect of masters, seamen, or apprentices, who are neither domiciled nor have a place of residence in the United Kingdom and are consequently deemed not to be employed within the meaning of this Part of this Act, shall be credited to a special fund, which shall be vested in trustees nominated under, and managed by a governing body constituted in accordance with, a scheme to be prepared by the National Health Insurance Joint Committee after consultation with the Board of Trade, and comprising three representatives of shipowners and six representatives of insured persons, and the scheme shall provide for the representatives of insured persons being selected from the members of the Seamen’s National Insurance Society and of any other societies more than three-fourths of whose members are masters, seamen, or apprentices to the sea service or the sea-fishing service, as nearly as may be in proportion to the membership of such societies respectively.

"The accounts of the said special fund shall be subject to audit, and the fund shall be subject to the provisions of this Act relating to valuations, surpluses and deficiencies (subject to the prescribed modifications) as if it were an approved society.

"The said governing body shall, subject to the approval of the Board of Trade and of the National Health Insurance Joint Committee prepare a scheme for the provision of such benefits out of the sums credited to the said special fund for masters, seamen, and apprentices, being members of approved societies, as are specified in the scheme (including pensions for masters and seamen with long sea service), and the scheme may provide for preference being given to masters and seamen who have served in foreign-going ships or ships engaged in foreign trade over those who have served in coasting and home trade ships, and for such preference being proportionate to the length of time spent in the first-mentioned service.

"The cost of any benefits under the said scheme shall be paid as to the proper proportion thereof out of moneys provided by Parliament, and the expenses of administering the benefits under the said scheme shall, up to the prescribed amount, be apportioned in the prescribed manner among and paid as expenses of administration of those societies whose members include persons entitled to the said benefits."

(2) Any contributions paid under subsection (6) of section forty-eight of the principal Act to the Seamen's National Insurance Society before the commencement of this Act shall, so far as unexpended and together with any accumulations of interest thereon, be transferred to the special fund for which provision is made by the new provision directed by this section to be substituted for the said subsection (6).

(3) The provisions contained in the proviso inserted in subsection (1) of section forty-eight of the principal Act by section twenty-three of the National Insurance Act, 1913, shall have effect whether the master, seaman, or apprentice was serving in a home trade ship or in any other ship, and accordingly the words "and was serving on a home trade ship" in the said proviso shall be repealed.

(4) Any period during which a master, seaman, or apprentice is, under the provisions of subsection (1) of section forty-eight of the principal Act, not entitled to sickness or disablement benefit shall be excluded in computing the period mentioned in paragraph (c) of subsection (1) of section eight of the principal Act, and any disease or disablement suffered by a master, seaman, or apprentice during any such period as is hereinbefore first mentioned shall for the purposes of

subsection (5) of the said section eight be deemed not to be a disease or disablement.

(5) For the purpose of ascertaining the sums to be retained by the Insurance Commissioners out of the contributions of masters, seamen, and apprentices serving in foreign-going ships or ships engaged in regular trade on foreign stations for the purpose of discharging their liabilities in respect of reserve values or for the purpose of being applied otherwise as in this Act provided, every six weekly contributions at the reduced rate paid by or in respect of any such seamen shall be treated as seven such contributions.

28.—(1) The following employments shall be deemed to be included among the excepted employments specified in Part II. of the First Schedule to the principal Act :—

Provisions with respect to teachers.

(a) Employment as a teacher in a public elementary school at any time after the person employed has undergone an examination in order to qualify for the position of a certificated teacher in such a school and before the announcement of the result of the examination :

(b) Employment as a pupil or student teacher, junior student or monitor in a public elementary school :

(c) Employment as a teacher of any class which may be specified in a special order made by the Insurance Commissioners after consultation with the Board of Education as being a class in the case of which the conditions of employment are similar to the conditions of employment prevailing in the case of teachers to whom the Elementary School Teachers (Superannuation) Act, 1898, applies, or to the conditions prevailing in the employments specified in paragraphs (a) and (b) of this subsection.

61 & 62 Vict. c. 57.

(2) Section fifty-two of the principal Act (which makes special provisions with respect to persons becoming certificated teachers) shall cease to have effect.

(3) In the application of this section to Ireland the Commissioners of National Education shall be substituted for the Board of Education.

29. Where the Insurance Commissioners satisfy the Treasury as respects any sums received by the Commissioners on account of sales of stamps issued for the purpose of Part I. of the principal Act that no claim has been or is likely to be made by or on behalf of any approved society or any deposit contributor for the crediting of those sums to the society or the Deposit Contributors Fund, those sums shall as to nine-tenths thereof be carried to the Central Fund, and as to the residue thereof be applied in such manner as may be prescribed :

Disposal of sums unclaimed in stamp sales account.

Provided that where any such sums as respects which the Insurance Commissioners satisfy the Treasury as aforesaid represent contributions paid by or in respect of masters, seamen,

or apprentices to the sea service or the sea-fishing service, being masters, seamen, or apprentices who were serving on foreign-going ships or ships engaged in regular trade on foreign stations, such proportion of those sums as may be prescribed shall be credited to the special fund to be established under subsection (6) of section forty-eight of the principal Act, and the balance thereof shall be dealt with as hereinbefore in this section directed.

Provisions
against mal-
administration.

8 Edw. 7, c. 32.

30.—(1) The Insurance Commissioners may, for the purpose of providing against maladministration by approved societies and their officers, make regulations applying to approved societies and to branches of approved societies, and to officers and members thereof, the provisions of sections thirty-five and fifty-five of the Friendly Societies Act, 1896, and any of the other provisions of the Friendly Societies Acts, 1896 and 1908, relating to offences, penalties, and legal proceedings, and any such regulations may provide that proceedings for any offence under subsection (3) of section eighty-seven of the Friendly Societies Act, 1896, as applied by the regulations, may be brought within two years from the date of the commission of the alleged offence.

(2) Any of the said provisions may be applied with or without adaptation or modification, so, however, that the penalty for offences, other than fraud, false declarations, misappropriation or falsification, shall not be made to exceed a fine of five pounds.

Extension of
power to make
regulations.

31. The power of the Insurance Commissioners to make regulations under section twenty-eight of the National Insurance Act, 1913, shall extend to the matters specified in the Fourth Schedule to this Act, subject always as to the matters specified in Part II. of that Schedule to the consent of the Treasury.

Provisions
with respect to
medical prac-
titioners, &c.
of approved
societies.

32.—(1) Where the Insurance Commissioners in pursuance of their powers under section fifteen of the principal Act remove the name of any medical practitioner or of any person, firm, or body corporate undertaking the supply of drugs, medicines, or appliances from any list of medical practitioners prepared under the said section, or from any list of such persons, firms, and bodies corporate as the case may be, they may, if they think fit so to do, remove his or their name from all or any of the other lists so prepared in which it is at the time included, and until such time as the Commissioners direct to the contrary that practitioner or person, firm, or body corporate shall be disqualified for inclusion in any other list, whether in England, Scotland or Wales, in which his or their name was not then so included or from which it was then removed.

(2) Regulations made under section fifteen of the principal Act may, subject to such modifications as may be prescribed, provide for the application to enquiries held under paragraph (b) of subsection (2) and paragraph (b) of subsection (5) of the said section respectively of any of the provisions of the Arbitration

Act, 1889, relating to the costs of an arbitration, the attendance of witnesses, and the production of documents, and the regulations may provide that the costs of any enquiry and of the finding thereon shall be in the discretion of the Commissioners instead of in the discretion of the person holding the enquiry. 52 & 53 Vict.
c. 49.

(3) The power to make regulations under the last preceding subsection with respect to the enquiries therein mentioned shall not extend so as to authorise regulations to be made with respect to any such enquiries held in Scotland, but regulations made under section fifteen of the principal Act may provide that, in the case of any such enquiry held in Scotland, the Scottish Insurance Commissioners may make such award as seems to them proper in regard to the expenses of the enquiry and the finding thereon.

33.—(1) The provisions set out in Part I. of the Third Schedule to this Act shall have effect with respect to the accounts of insurance committees for the year nineteen hundred and eighteen and subsequent years, and the audit of such accounts. Accounts of
insurance
committees.

(2) In the application of this section to Scotland, Part II. of the said Schedule shall be substituted for Part I.

34.—(1) Without prejudice to their power to take any other proceedings, the Insurance Commissioners may, if after a public enquiry they are satisfied that by reason of the default of an insurance committee in the performance of their duties the administration of medical or sanatorium benefit or of the benefits of deposit contributors in the area is being prejudiced, by order declare that the existing members of the committee have vacated their office. Default by
insurance
committee.

(2) Every such order shall provide for the appointment forthwith, subject to the provisions of section fifty-nine of the principal Act, of a new committee, and may contain such provisions as seem to the Commissioners expedient for authorising any person to act in the place of the committee, pending the appointment of the new committee.

35. Section fifty-one of the principal Act (which makes special provisions as to the inmates of charitable homes), shall cease to have effect. Repeal of
section 51 of
principal Act.

36. It is hereby declared that except where special arrangements in that behalf are made at the request of an insured person no deduction may be made by an approved society as on account of the cost of the transmission of the benefit from the amount payable by way of sickness, disablement, or maternity benefit. Provision with
respect to the
payment of
certain
benefits.

37.—(1) The Insurance Commissioners may make regulations:—

(a) Providing for the nomination by an insured person of the persons to whom any sum payable to him by way of benefit under Part I. of the principal Act and Disposal of
sums forming
part of estate
of deceased
persons.

unpaid at the date of his death, or any other sum payable under Part I. of the principal Act and forming part of his estate is to be paid at his death, for the revocation of any such nomination, for the payment of the specified amount to any nominee so nominated, and providing that any such nomination shall take effect as if it were a will of the deceased duly executed, and that notwithstanding the want of due execution, minority, or marriage, or in Scotland the birth of a child; and

- (b) Providing that subject to the regulations, probate or other proof of the title of the personal representatives of the deceased person may be dispensed with in the case of any such sum as aforesaid, and that any such sum may be paid or distributed to or among the persons appearing in manner provided by the regulations to be beneficially entitled to the personal estate of the deceased person, whether under any such nomination as aforesaid, or by law, or as next of kin, or as creditors, or otherwise, or to or among any one or more of such persons exclusive of the others, or in the case of any illegitimacy of the deceased person or his children to or among such person, or persons, as may be directed by the regulations, and that any society or committee making a payment in accordance with the regulations shall be discharged from all liability in respect of the sum so paid.

(2) The foregoing provisions of this section shall apply to the sum payable under paragraph (f) of section forty-two of the principal Act on the death of a deposit contributor as if that sum were a sum payable to him by way of benefit under Part I. of the principal Act and unpaid at the date of his death, and accordingly the said paragraph (f) shall have effect as if for the words therein from "shall be paid" to the end thereof there were substituted the words "shall be dealt with as if it were a sum payable to an insured person by way of benefit under this Part of this Act and unpaid at the date of his death, and the balance thereof shall be transferred to the Reserve Suspense Fund."

Amendment
of s. 63 of
principal
Act.

38.—(1) Where such an allegation as is mentioned in section sixty-three of the principal Act is made by an approved society or insurance committee, the society or committee shall, in the event of their failing to arrive at an agreement with the person or authority concerned refer the matter with a statement in support of the allegation to the Insurance Commissioners, and shall not make an application for an enquiry unless the Commissioners are of opinion that a *prima facie* case for an enquiry is disclosed, and authorise such an application to be made.

(2) In subsection (2) of the said section for the words "been" "in excess of the average expectation of sickness by more than

“ ten per cent. and that such excess was in whole or in part due to any such cause as aforesaid the amount of any ” there shall be substituted the words “ been in excess of the amount of sickness which, in the opinion of the person holding the enquiry, would have occurred if there had been no default by any person or authority as aforesaid, the amount of that ” and the words “ or such part thereof as aforesaid, ” wherever those words occur in subsection (2) of the said section, and subsection (4) of the said section shall be repealed.

39. In subsection (2) of section sixty-nine of the principal Act, the words “ in respect of an employed contributor ” shall be omitted, and for the words “ to make any such contributions ” there shall be substituted the words “ to pay any contributions, ” and in subsection (3) of section thirty-four and subsection (6) of section forty-one of the National Insurance Act, 1913, the word “ person ” shall be substituted for the words “ employed contributor. ”

Amendment
of s. 69 of
principal
Act.

40.—(1) Where an employer has failed or neglected to pay any contribution which under Part I. of the principal Act he is liable to pay in respect of any insured person in his employment, (hereinafter referred to as “ an employee ”) or has failed or neglected to comply in relation to any employee with the requirements of any regulations relating to the payment and collection of contributions, and by reason thereof the employee or any person claiming through him has lost in whole or in part any benefits to which he would have been entitled under Part I. of the principal Act, he shall be entitled to recover summarily from the employer as a civil debt a sum equal to the amount of any sickness, disablement or maternity benefit which he has lost as aforesaid, and a sum equal to the amount of any expenses which he has incurred by reason of not being entitled to medical benefit or sanatorium benefit.

Civil pro-
ceedings
against em-
ployer for
neglecting
to comply
with prin-
cipal Act.

(2) If an employee who is a member of an approved society refuses or neglects to enforce any claim under the preceding provisions of this section, the society may take the necessary proceedings in the name and on behalf of the employee :

Provided that if any society takes proceedings as aforesaid and fails in the proceedings it shall be responsible for the costs of the proceedings as if it were claiming on its own account.

(3) If an employee is not a member of an approved society he or any person claiming through him shall in any proceedings under this section be entitled to recover from the employer the same amount as he would have been entitled to recover if the employee had been a member of an approved society.

(4) Proceedings may be taken under this section notwithstanding that proceedings have also been taken under any other enactment in respect of the same failure or neglect.

41.—(1) For the purpose of removing doubts it is hereby declared that the expression “ a sum not exceeding one penny in all. ” in subsection (2) of section thirty-three of the National

Construction
of s. 33 of
3 & 4 Geo. 5.
c. 37.

Insurance Act, 1913, means a sum not exceeding one penny in all in respect of each year.

(2) Any travelling expenses incurred by members of any local committee elected under subsection (1) of section thirty-three of the National Insurance Act, 1913, or of any committee elected by medical practitioners under section thirty-two of the said Act in attending meetings of the committee or of any sub-committee thereof, and any expenses incurred by any such members on account of subsistence whilst so attending shall be deemed to be administrative expenses of the committee within the meaning of subsection (2) of the said section thirty-three.

Amendment of
s. 34 of
3 4 Geo. 5.
c. 37.

42. The following provisions shall be substituted for subsection (2) of section thirty-four of the National Insurance Act, 1913 :—

“(2) Every person who buys, sells, or offers for sale, takes
• or gives in exchange, or pawns or takes in pawn, any insurance card, insurance book, or used insurance stamp, shall be liable on summary conviction to a fine not exceeding twenty pounds, and in any proceedings under the foregoing provisions with respect to used insurance stamps, an insurance stamp shall be deemed to have been used if it has been cancelled or defaced in any way whatever, and whether it has been actually used for the purpose of payment of a contribution or not.

“Proceedings may be taken under this subsection at any time within one year from the date of the commission of the alleged offence.”

Provisions
with respect
to branches.

43.—(1) The Insurance Commissioners may if they think fit so to do and subject to the prescribed conditions recognise for the purposes of the principal Act any branch of an approved society though the branch is not separately registered as a branch of the society.

(2) In case of the maladministration of the affairs of any branch of an approved society, whether a branch which is separately registered or a branch which has been recognised by the Commissioners under this section, the Commissioners may declare that the branch shall cease to be a branch for the purposes of the principal Act.

Amendment of
s. 67 of the
principal Act
in its applica-
tion to Scot-
land.

44. Where any appeal or dispute is submitted to the Scottish Insurance Commissioners under section sixty-seven of the principal Act, the Commissioners, or the referees appointed by them to decide the appeal or dispute, may, on the application of either party, at any stage of the proceedings, and shall if so directed by either division of the Court of Session state a case on any question of law arising in the appeal or dispute for the opinion of either division of the Court of Session, and the procedure in such stated cases shall, so far as practicable, be in accordance with the regulations and practice in Scotland prevailing in

stated cases under the Workmen's Compensation Act, 1906, Second Schedule, paragraph 17(b), provided always that the decision of the Court of Session shall be final.

45. Notwithstanding anything in subsection (2) of section nine of the National Insurance Act, 1913, the contributions paid in Great Britain under subsection (3) of section eighty-one of the principal Act in respect of any person being an Irish migratory labourer shall be dealt with in manner provided by that subsection, and the sum to be contributed out of moneys provided by Parliament towards the cost of any payments made under the regulations made under the said subsection and the administration thereof shall be the same as if those payments were benefits to insured persons.

Provisions with respect to contributions paid on account of Irish migratory labourers.

46. Section seventeen of the National Insurance Act, 1913, which empowers the Insurance Commissioners to authorise variations in rules of approved societies rendered necessary by the passing of that Act, shall have effect as if the reference therein to amendments rendered necessary by the passing of that Act included a reference to variations or amendments rendered necessary by the passing of this Act and to any variations or amendments required to secure that no insured person who is suffering from any form of venereal disease shall, on the ground that the disease is or may have been due to misconduct, be deprived of any sickness or disablement benefit to which he would otherwise have been entitled.

Application of s. 17 of 3 & 4 Geo. 5. c. 37, to variations in rules of societies necessitated by this Act.

47. The National Insurance (Part I. Amendment) Act, 1917, shall be amended as follows:—

Extension of 7 & 8 Geo. 5. c. 15, to other pensionable persons.

- (1) By the insertion in section one thereof after the word "marines" and after the word "soldiers" of the words "or other persons."
- (2) By the insertion therein after the words "to whom" "section forty-six of the National Insurance Act, 1911, applied" wherever those words occur of the words "or who was an insured person."
- (3) By the substitution for the words "naval or military service" wherever those words occur of the words "naval, military, or other pensionable service."

48.—(1) This Act may be cited as the National Health Insurance Act, 1918, and the National Insurance (Health) Acts, 1911 to 1917, and this Act may be cited together as the National Insurance (Health) Acts, 1911 to 1918.

Short title, commencement, construction, and repeal.

(2) This Act shall, save as otherwise herein expressly provided, come into operation on the first day of July nineteen hundred and eighteen, or such later date or dates as the National Health Insurance Joint Committee may by order appoint, and different dates may be appointed for different purposes and different provisions of this Act.

(3) This Act shall be construed as one with Part I. of the principal Act, and any references in this Act to any provision of Part I. of the principal Act, or of the National Insurance Act, 1913, which has been amended by any other Act or is amended by this Act shall be construed as a reference to that provision as so amended.

(4) The enactments specified in the Fifth Schedule to this Act are hereby repealed :

52 & 53 Vict.
c. 63.

Provided that, without prejudice to the general application of section thirty-eight of the Interpretation Act, 1889, with regard to the effect of repeals, any regulations or orders made under any of the provisions of the principal Act or of the National Insurance Act, 1913, which are repealed by this Act, shall, if in force at the commencement of this Act continue, until revoked and except as varied under the powers of this Act, to have effect as if they had been made under those powers.

Section 1.

SCHEDULES.

FIRST SCHEDULE.

The amounts to be carried to the several funds shall be calculated as follows :—

The Contingencies Fund	-	-	$\frac{7}{8}$	} of a sum representing in the case of men $\frac{4}{8}$ ths and in the case of women $\frac{3}{8}$ ths of a penny for each weekly contribution paid in respect of a member of a society.
The Central Fund	-	-	$\frac{1}{8}$	

Section 5.

SECOND SCHEDULE.

Section.	Amendment.
36 -	- "Five years" shall be substituted for "three years" wherever those words occur.
37 (1) -	- Paragraph (b) shall be omitted, and in paragraph (c) the words "there shall be transferred to the central body" or other central authority of the society of which it "is a branch, one-third of the surplus, and" the words "the remaining two-thirds of" and the words "together with any such addition as aforesaid" shall be omitted.

Section.*

Amendment.

- 38 (1) - Paragraph (a) shall be omitted; in paragraph (b) the words "Any deficiency not made good from any Contingencies Fund or the Central Fund" shall be substituted for the words "Subject as aforesaid every deficiency," and the words "five years (or such other period as the Insurance Commissioners may require in any particular case) from the expiration of six months after the date on which the valuation report is issued to the society" shall be substituted for "three years from the date at which the valuation was made."
- 40 - Subsections (1) and (2) shall not have effect except so far as they may apply to geographical areas consisting of integral parts of the United Kingdom.
- 54 (3) - After "Navy and Army Insurance Fund" there shall be inserted "and of the Central Fund."
- 54 (4) - After "Navy and Army Insurance Fund" there shall be inserted "and to the Central Fund."
- 56 (1) (a) - At the end thereof there shall be inserted "and for the Central Fund."

THIRD SCHEDULE.

Section 33.

PART I.

(1) If it appears to any auditor to whom the accounts of an Insurance Committee (including the accounts of any officer or servant of the Committee) have been submitted under paragraph (c) of subsection (1) of section sixty of the principal Act, that any item of account is contrary to law, or that any money or income which ought to have been brought into account has not been so brought into account, the auditor shall disallow the item of account and shall surcharge the amount of any unlawful payment or expenditure, or of any loss or deficiency, upon any member, officer, or servant of the Committee or other person by whose negligence or misconduct that payment or expenditure has been made or authorised or that loss or deficiency has been incurred:

Provided that no item of account shall be disallowed or surcharged by the auditor, if the same has been sanctioned by the Commissioners.

(2) Any Insurance Committee or person aggrieved by any disallowance or surcharge may, within thirty days after the date of the auditor's certificate, appeal to the Insurance Commissioners, whose decision shall be final, and the procedure on appeal shall be such as may be prescribed:

Provided that the Commissioners may at any stage of the proceedings on appeal, and shall if so directed by the High Court, state in the form of a special case for the opinion of the Court any question of law arising in the course of the appeal.

(3) The Insurance Commissioners, in considering whether any item of account should be sanctioned, or in determining any appeal under this Schedule, may, if they are of opinion that any disallowance or surcharge has been or would be lawfully made, but that in the circumstances of the

case it is equitable that the disallowance or surcharge should not be made, sanction the item of account and remit the disallowance or surcharge :

Provided that where the item of account or expenditure relates in whole or in part to moneys provided under subsection (1) of section one of the National Insurance Act, 1913, the Commissioners shall have regard to the terms of any scheme, vote, or regulation providing for or prescribing the application of those moneys.

(4) In any case in which an appeal has been made to the Commissioners, the auditor may re-open the audit for the purpose of giving effect to the decision of the Commissioners.

(5) Any sum surcharged by the auditor, or any balance certified by him to be due, shall be paid to the Commissioners by the person who is surcharged or from whom the balance is certified to be due within thirty days after the date of the auditor's certificate, or, if an appeal is lodged and the amount surcharged or certified to be due is not remitted, within thirty days after the date of the decision of the Commissioners, and if not paid within the time aforesaid may be recovered by the Commissioners summarily as a civil debt ; and the costs of any proceedings for the recovery of any such sum so far as not recovered from the person surcharged shall be charged to the Insurance Committee.

On any proceedings for the recovery of such a sum a certificate purporting to be signed by an auditor appointed under the principal Act shall be conclusive evidence of the facts certified.

(6) Any person who knowingly recharges to the funds of an Insurance Committee any sum which has been disallowed by the auditor and has not been allowed by the Insurance Commissioners on appeal, shall be liable on summary conviction to a fine not exceeding three times the amount of the sum so recharged.

PART II.

(1) If it appears to any auditor to whom the accounts of any Insurance Committee in Scotland (including the accounts of any officer or servant of the Committee) have been submitted under paragraph (c) of subsection (1) of section sixty of the principal Act that any item of account is contrary to law, or that any money or income which ought to have been, is not brought into account, the auditor shall, by an interim report under his hand, report thereon to the Scottish Insurance Commissioners setting forth the grounds of his opinion as aforesaid ; and the Commissioners shall cause such interim report to be intimated to the Committee or person affected thereby ; and after such enquiry as the Commissioners think fit they shall decide all questions raised by such interim report and shall disallow all unlawful items of account and shall surcharge the amount of any unlawful payment or expenditure or of any loss or deficiency, upon any member, officer, or servant of the Committee or other person by whose negligence or misconduct that payment or expenditure has been made or authorised or that loss or deficiency has been incurred.

(2) If the Scottish Insurance Commissioners are of opinion that any disallowance or surcharge might lawfully be made, but that in the circumstances of the case it is equitable that the disallowance or surcharge should not be made, they may abstain from making the same :

Provided that where the payment or expenditure in question relates in whole or in part to moneys provided under subsection (1) of section one of the National Insurance Act, 1913, the Commissioners shall have regard to the terms of any scheme, vote, or regulation providing for or prescribing the application of those moneys.

(3) Every sum determined by the Scottish Insurance Commissioners under the provisions hereof to be due from any person shall be paid by such person to the Commissioners within thirty days after such determination has been intimated to him, and if such sum is not so paid the Commissioners may recover the same as a civil debt ; and the costs of any proceedings for the recovery of any such sum so far as not recovered from the person surcharged shall be charged to the Insurance Committee.

On any such proceedings a certificate purporting to be signed by the Secretary of the Commissioners or some person authorised by the Commissioners to act on behalf of the Secretary shall be conclusive evidence of the facts certified.

(4) Any person who knowingly recharges to the funds of an Insurance Committee any sum which has been disallowed by the Scottish Insurance Commissioners under the provisions hereof shall be liable on summary conviction to a fine not exceeding three times the amount of the sum so recharged.

FOURTH SCHEDULE.

Section 31.

MATTERS WITH RESPECT TO WHICH REGULATIONS MAY BE MADE.

PART I.

(1) The manner and conditions in and upon which the following matters may be carried into effect :—

- (a) The transfer by an approved society of its engagements under Part I. of the principal Act, or of such of those engagements as relate to members resident in any particular part of the United Kingdom, or as relate to men only or women only, to any other approved society or to any two or more other approved societies which may undertake to fulfil those engagements ;
- (b) The transfer of the engagements of a branch of an approved society, or of such of those engagements as relate to men only or to women only, to any other branch, or to any two or more other branches, of that society or of any other society or to any other society or to any two or more other societies ;
- (c) The secession, expulsion, or dissolution of a branch of an approved society in respect of its business under Part I. of the principal Act ;
- (d) The financial adjustments to be made on any such transfer, secession, expulsion or dissolution.

(2) Enabling or requiring an approved society with branches to establish, subject to prescribed conditions and in the prescribed manner, a central fund for the purpose of administering the benefits of any of the members of any branch which may secede or be dissolved or expelled or cease to be a branch for the purposes of Part I. of the principal Act, and making provision with respect to payments into and out of any fund so established, and with respect to the transfer of any persons for whose benefits the fund is liable to any other branch of the society.

(3) Enabling an approved society, not being a society with branches, to establish branches, and to apportion among the branches, subject to the prescribed conditions, all or any of the funds of the society.

(4) Applying to the Navy and Army Insurance Fund and to the members of that fund, subject to the prescribed modifications, adaptations and exceptions, the provisions of Part I. of the principal Act and of this Act relating to approved societies and to members and membership of and transfer to and from approved societies, and relating to persons lapsing from insurance, and for providing benefits (other than additional benefits) out of that fund to any persons being persons to whom section forty-six of the principal Act applies and who are not members of an approved society when discharged, for such period after discharge as may be prescribed.

(5) Providing, in the case of any persons who are insured at the commencement of this Act and whose position is affected by any of the provisions thereof, for the transition from the provisions of Part I. of the principal Act affecting them to those provisions as amended by the provisions of this Act, including any necessary crediting or variation of reserve values.

(6) The issue of certificates for the purpose of Part I. of the principal Act by medical practitioners under agreement with insurance committees.

(7) The application of any existing provisions with respect to the administration of medical benefit to the domiciliary treatment of persons recommended for sanatorium benefit.

(8) Applying the provisions of this Act with the necessary modifications, adaptations and exceptions to deposit contributors. •

(9) Enabling the accounts of deposit contributors to be kept in terms of contributions, and the amounts payable to or in respect of deposit contributors on account of benefit to be fixed in terms of contributions, and for prescribing the conditions subject to which the benefits of deposit contributors shall be paid or provided.

(10) Prescribing the amount which may be charged in respect of the expenses (by whomsoever incurred) of administering the benefits of deposit contributors and for providing for the payment of and otherwise regulating those expenses.

(11) Applying the provisions of section ninety-seven of the Friendly Societies Act, 1896, subject to any necessary modifications, to certificates of the death of insured persons required for the purpose of Part I. of the principal Act.

PART II.

The administration of any medical benefit or treatment the cost of which may be defrayed out of the additional sums provided by Parliament under section one of the National Insurance Act, 1913.

FIFTH SCHEDULE.

Section 48.

ENACTMENTS REPEALED.

Session and Chapter.	Short Title.	Extent of Repeal.
1 & 2 Geo. 5. c. 55.	The National Insurance Act, 1911.	Subsection (3) of section one; subsection (1) of section five; section six; sections nine and ten (so far as unrepealed); section thirty-one; paragraphs (d) and (i) of subsection (1) of section thirty-eight; sections thirty-nine, forty-three, forty-four, and forty-five; subsection (1) and paragraph (g) and proviso (ii) to paragraph (h) of subsection (3), and paragraph (ii) of subsection (4) of section forty-six; section forty-seven; the words from "but for the purpose" to "as aforesaid" in subsection (1), proviso (a) to subsection (2), the words from "and the rules" to the end of the subsection in subsection (8), and subsection (9) of section forty-eight; sections fifty-one and fifty-two; subsection (2) of section fifty-three; subsection (4) of section sixty-three; section seventy; in section seventy-nine, the words from "a person whose normal" to "in his normal occupation"; in paragraph (11) of section eighty-one the words from "with the modification" to the end of the paragraph, and paragraphs (12) and (16) of the same section; Tables B and D in Part I. of, and Part III. of the Fourth Schedule.
3 & 4 Geo. 5. c. 37.	The National Insurance Act, 1913.	Sections four, seven, and eight; in section ten the words from "but in that case" to the end of subsection (1); sections fifteen, eighteen, twenty, twenty-one, and twenty-four, and paragraph (A) (ii) and paragraph (E) of the First Schedule.